NSSF had become a large off-budget vehicle. As on 31 March 2019, net accumulated inflows/deposits in NSSF were in the order of Rs 15.02 lakh crore. The investment in Central government securities was Rs 6.09 lakh crore, in state government securities Rs 4.71 lakh crore and in public agencies Rs 2.72 lakh crore, aggregating Rs 13.52 lakh crore. There were accumulated losses/shortfall of Rs 1.14 lakh crore and a cash balance of Rs 0.36 lakh crore. The largest component of NSSF investment in public agencies—Rs 1.91 lakh crore out of Rs 2.72 lakh crore—was loan to FCI in lieu of payment of food subsidy.

This arrangement allowed the government to exclude revenue expenditures of Rs 1.91 lakh crore from its expenditures, fiscal deficit and debt and liabilities numbers. The practice to shove food subsidy off-budget is continuing. Loans from NSSF to FCI increased to Rs 2.55 lakh crore (by Rs 64,000 crore) in 2019–20 (revised estimates) and Rs 3.23 lakh crore (by Rs 68,000 crore) in 2020–21 (Budget estimates). The majority of other loans from NSSF are also in the nature of government expenditure and liabilities of the government. Loans to NHAI (which has no revenue to service the loans; toll receipts are accounted for as non-tax receipts of the government), Air India and the Building Materials and Technology Promotion Council (BMTPC) for affordable housing subsidies are all real liabilities of the government.

Government Vows to Clean Up Off-Budget Borrowings

After highlighting the efforts of the government in improving disclosures for off-budget borrowings in previous budgets, the finance minister, in her Budget Speech 2021–22, proposed ‘to discontinue the NSSF loan to FCI for food subsidy’. This marked the winding down of the harmful practice initiated in financial year 2016–17.

In Annexure VI of the Budget Speech 2021–22, the details of extra-budgetary resources, commonly called off-budget borrowings, included